

Bill of Exchange: Meaning, Importance and Types

1. Meaning of Bill of Exchange

A **Bill of Exchange** is a written order issued by one person to another person, directing him to pay a specific amount of money to a third person on a specified date or on demand.

According to the Negotiable Instruments Act, 1881, a bill of exchange is:

“An instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of, a certain person or to the bearer of the instrument.”

Simple Meaning

A bill of exchange is a document used in credit transactions where the seller gives time to the buyer for payment. It creates a legal obligation for the buyer to pay the amount mentioned in the bill.

Parties Involved in a Bill of Exchange

1. Drawer

- The person who makes or writes the bill.
- Usually the seller or creditor.
- Example: A seller who sells goods on credit.

2. Drawee

- The person who is ordered to make payment.
- Usually the buyer or debtor.

3. Payee

- The person who receives the payment.
- It can be the drawer himself or another person.

Example

A sells goods worth ₹50,000 to B on credit for 3 months. A prepares a bill of exchange asking B to pay ₹50,000 after 3 months.

Here:

- A = Drawer
- B = Drawee
- A (or another person named) = Payee



2. Importance of Bill of Exchange

1. Provides Credit Facility

- It allows buyers to purchase goods without immediate payment.
- The buyer gets time to arrange funds.

2. Legal Evidence of Debt

- A bill of exchange is a legally valid document.
- It provides proof of the amount payable and payment terms.

3. Easy Transfer of Money

- Bills can be transferred from one person to another by endorsement.
- This makes business transactions easier.

4. Ensures Payment Security

- The payment date and amount are clearly mentioned.
- It reduces the risk of payment disputes.

5. Helps in Financing

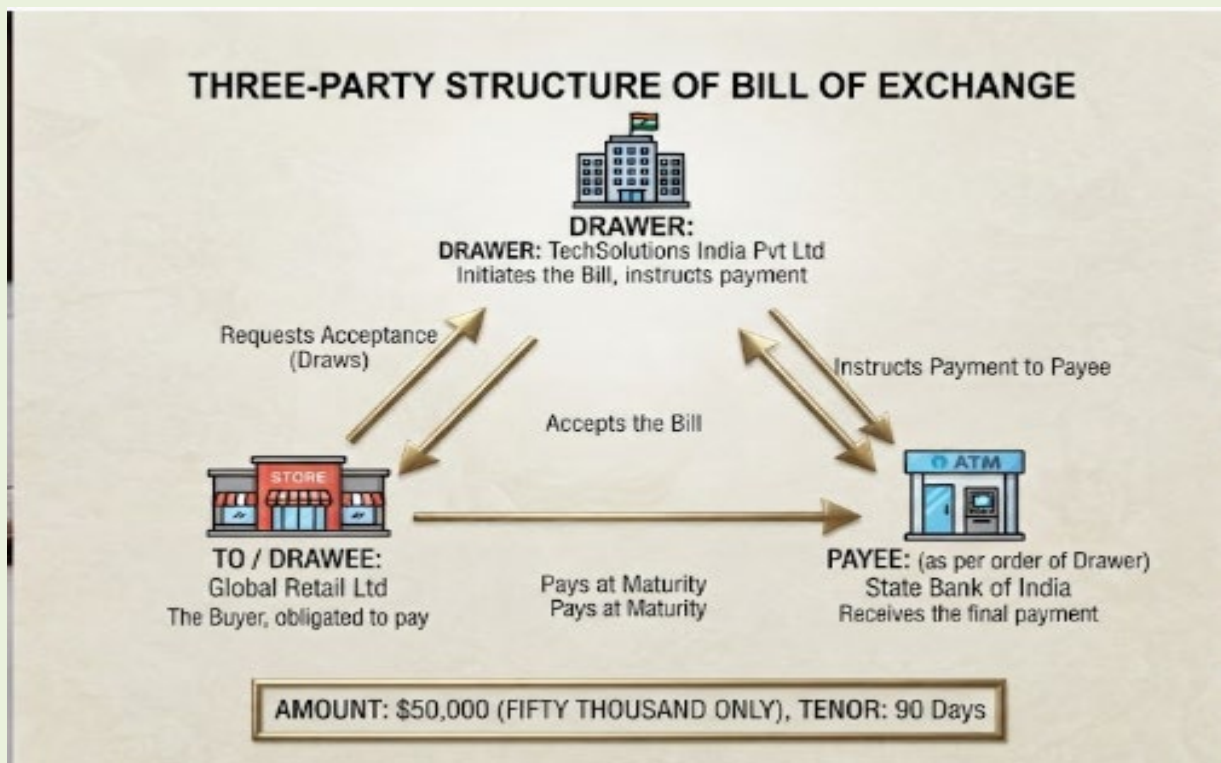
- Businesses can discount bills with banks to get money before the due date.
- It improves cash flow.

6. Encourages Business Growth

- Traders can increase sales by providing credit facilities to customers.

7. Creates Financial Discipline

- The debtor is legally bound to make payment on the due date



Types of Bill of Exchange

A Bill of Exchange can be classified into various types depending on the time of payment, purpose, place of transaction, acceptance, documents attached, discounting, and number of parties involved. The following are the 17 important types of bills of exchange:

1. Demand Bill (Sight Bill)

A **Demand Bill** is a type of bill of exchange in which the payment is made immediately when the bill is presented to the drawee. There is no fixed date or period mentioned for payment. The drawee has to make payment as soon as the holder presents the bill. These bills are generally used when the seller wants immediate payment and does not provide any credit period to the buyer. **Example:** A draws a bill on B directing him to pay ₹50,000 on demand. B must pay immediately when the bill is presented.

2. Time Bill (Usance Bill)

A **Time Bill** is a bill of exchange where payment is made after a specific period mentioned in the bill. The payment may be due after 30 days, 60 days, 90 days, or any other agreed period. This type of bill is commonly used in credit transactions because it gives sufficient time to the buyer to arrange money before payment becomes due. **Example:** A sells goods to B on credit and draws a bill requiring B to pay after 90 days.

3. Trade Bill

A **Trade Bill** is a bill of exchange that arises from an actual business transaction between a seller and a buyer. When goods are sold on credit, the seller draws a bill on the buyer as a written promise of future payment. Trade bills are commonly used in commercial activities because they provide legal evidence of

credit sales.**Example:**A sells goods worth ₹1,00,000 to B on credit. A draws a bill which B accepts and promises to pay after three months.

4. Accommodation Bill

An Accommodation Bill is a bill drawn without any actual sale or purchase of goods. It is created only to provide financial assistance to one party. One person accepts the bill as a favour to another person so that the bill can be discounted from a bank and money can be raised.**Example:**A needs funds but cannot obtain a loan. B accepts a bill drawn by A so that A can get money from a bank.

5. Inland Bill

An **Inland Bill** is a bill of exchange that is drawn and payable within the same country. Both the drawer and drawee are located in the same country. These bills are used for domestic business transactions. Example: A seller in Delhi draws a bill on a buyer in Mumbai, payable in Mumbai.

6. Foreign Bill

A **Foreign Bill** is a bill of exchange that is drawn in one country and payable in another country. These bills are mainly used in international trade. They help exporters and importers conduct business transactions across countries. Example: An Indian exporter draws a bill on a buyer in the USA for exported goods.

B.C Types of Foreign Bills:

a) Export Bill

An export bill is drawn by an exporter on a foreign buyer for payment of goods supplied to another country.

b) Import Bill

An import bill is received by an importer for goods purchased from a foreign country.

7. Accepted Bill

An **Accepted Bill** is a bill that has been accepted and signed by the drawee. After acceptance, the drawee becomes legally responsible for making payment on the maturity date. Acceptance gives legal validity to the bill.

8. Unaccepted Bill

An **Unaccepted Bill** is a bill that has not yet been accepted by the drawee. Until acceptance, the drawee has no legal obligation to make payment. It becomes valid only after the drawee accepts it.

9. Clean Bill

A **Clean Bill** is a bill of exchange that is not supported by any documents relating to goods. It is based only on the trust and creditworthiness of the parties involved. No shipping documents or invoices are attached with this type of bill. Clean bills are generally used between parties having strong business relationships.

10. Documentary Bill

A Documentary Bill is a bill of exchange supported by documents related to goods. These documents provide proof of shipment, ownership, and delivery of goods. The buyer receives the documents only after fulfilling payment or acceptance conditions.

C. Types of Documentary Bills:

a) Documents Against Payment (D/P) Bill

In a D/P bill, the buyer receives the documents of goods only after making payment. The bank releases documents after collecting payment from the buyer.

b) Documents Against Acceptance (D/A) Bill

In a D/A bill, the buyer receives documents after accepting the bill and agreeing to pay on a future date.

11. Discounted Bill

A **Discounted Bill** is a bill of exchange that is sold to a bank before its maturity date.

The bank pays the holder immediately after deducting discount charges. This helps businesses get cash quickly without waiting for the payment date. **Example:** A bill worth ₹1,00,000 is discounted with a bank. The bank pays after deducting discount charges.

12. Undiscounted Bill

An **Undiscounted Bill** is a bill that is not discounted with a bank. The holder keeps the bill until maturity and receives payment directly from the drawee. No bank discount charges are involved.

13. Single Name Bill

A **Single Name Bill** is a bill where only one person is mainly responsible for payment. It usually involves one debtor who promises to make payment according to the terms of the bill.

14. Two Name Bill

A **Two Name Bill** is a bill involving two main parties:

1. Drawer
2. Drawee

The drawer prepares the bill and the drawee accepts responsibility for payment.

15. Three Name Bill

A **Three Name Bill** involves three parties:

1. **Drawer** – The person who prepares the bill.
2. **Drawee** – The person who has to make payment.
3. **Payee** – The person who receives payment.

This is the most common form of bill of exchange.

16. Genuine Bill

A **Genuine Bill** is a bill of exchange that is created against an actual business transaction. There is a real sale or purchase of goods or services behind the bill. It represents a true commercial transaction between parties. **Example:** A sells goods to B on credit and draws a bill for payment.

17. Accommodation Bill (Renewal/Fictitious Purpose)

An **Accommodation Bill** is created mainly for raising funds rather than for settling a genuine trade transaction. It is based on mutual agreement between parties to provide temporary financial support. The person who receives the benefit of the accommodation must arrange payment on the maturity date.